OPERATING LEASE AGREEMENT

Agreement reference AF-TEST-0001 · prepared 13 October 2026

1. THE LESSOR

Name	Test Asset Lender (Pty) Ltd
Registration number	2000/000000/07
NCR registration	NCRCP00000
Registered office	1 Test Street, Testville, 0001

2. THE LESSEE

Name	Test Soleprop
Type	Sole proprietor (natural person)
Identity number	0000000000000
Address	3 Test Lane, Pretoria

3. THE GOODS (OWNED BY THE LESSOR THROUGHOUT)

Class	Excavator
Make and model	TESTMAKE EX-200
Year	2026
Serial / PIN	TESTSERIAL0001
VIN	TEST0000000000001
Engine number	TESTENGINE0001

4. THE SUPPLIER

Supplier	TEST Plant Sales (Pty) Ltd
Registration number	2099/000002/07
VAT number	4888888888

5. RENTALS

Term	36 months, 31 December 2026 to 31 December 2029
Rentals	Monthly in arrears
Base monthly rental excl. VAT	R 39,651.05
Annual escalation of the rental	8.00%
Contract rate (prices the rental)	Prime plus 1.00%, linked to Prime (Prime of 10.75% effective 29 May 2026): 11.75% a year (nominal)
VAT	Charged on every rental at the rate in force (15.00% at commencement)
Total rentals excl. VAT	R 1,544,678.20
Total VAT	R 257,615.56
Total payable incl. VAT	R 1,975,051.88
Cancellation penalty	Reasonable cancellation penalty: see clause 9.10
Default interest on arrears	Contract rate plus 2.00% a year

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Collection fee per missed rental R 450.00

6. RENTAL SCHEDULE

No.	Due date	Rental excl. VAT	VAT	Total incl. VAT
1	31 January 2027	R 39,651.05	R 6,622.66	R 50,773.71
2	28 February 2027	R 39,651.05	R 6,622.66	R 50,773.71
3	31 March 2027	R 39,651.05	R 6,622.66	R 50,773.71
4	30 April 2027	R 39,651.05	R 6,622.66	R 50,773.71
5	31 May 2027	R 39,651.05	R 6,622.66	R 50,773.71
6	30 June 2027	R 39,651.05	R 6,622.66	R 50,773.71
7	31 July 2027	R 39,651.05	R 6,622.66	R 50,773.71
8	31 August 2027	R 39,651.05	R 6,622.66	R 50,773.71
9	30 September 2027	R 39,651.05	R 6,622.66	R 50,773.71
10	31 October 2027	R 39,651.05	R 6,622.66	R 50,773.71
11	30 November 2027	R 39,651.05	R 6,622.66	R 50,773.71
12	31 December 2027	R 39,651.05	R 6,622.66	R 50,773.71
13	31 January 2028	R 42,823.13	R 7,142.35	R 54,757.98
14	29 February 2028	R 42,823.13	R 7,142.35	R 54,757.98
15	31 March 2028	R 42,823.13	R 7,142.35	R 54,757.98
16	30 April 2028	R 42,823.13	R 7,142.35	R 54,757.98
17	31 May 2028	R 42,823.13	R 7,142.35	R 54,757.98
18	30 June 2028	R 42,823.13	R 7,142.35	R 54,757.98
19	31 July 2028	R 42,823.13	R 7,142.35	R 54,757.98
20	31 August 2028	R 42,823.13	R 7,142.35	R 54,757.98
21	30 September 2028	R 42,823.13	R 7,142.35	R 54,757.98
22	31 October 2028	R 42,823.13	R 7,142.35	R 54,757.98
23	30 November 2028	R 42,823.13	R 7,142.35	R 54,757.98
24	31 December 2028	R 42,823.13	R 7,142.35	R 54,757.98
25	31 January 2029	R 46,248.98	R 7,702.95	R 59,055.94
26	28 February 2029	R 46,248.98	R 7,702.95	R 59,055.94
27	31 March 2029	R 46,248.98	R 7,702.95	R 59,055.94
28	30 April 2029	R 46,248.98	R 7,702.95	R 59,055.94
29	31 May 2029	R 46,248.98	R 7,702.95	R 59,055.94
30	30 June 2029	R 46,248.98	R 7,702.95	R 59,055.94
31	31 July 2029	R 46,248.98	R 7,702.95	R 59,055.94
32	31 August 2029	R 46,248.98	R 7,702.95	R 59,055.94
33	30 September 2029	R 46,248.98	R 7,702.95	R 59,055.94
34	31 October 2029	R 46,248.98	R 7,702.95	R 59,055.94
35	30 November 2029	R 46,248.98	R 7,702.95	R 59,055.94
36	31 December 2029	R 46,249.26	R 7,702.99	R 59,056.26

7. CONTRACTED USAGE

No usage limit is contracted.

8. CONSUMER PROTECTION ACT

The Consumer Protection Act, 2008 applies to this lease. Its fixed-term rules (section 14) apply: the lessee may cancel on 20 business days' notice, subject to a reasonable cancellation penalty, and is notified before the term expires.

9. TERMS AND CONDITIONS

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9.1 Lease of the goods; ownership remains with the lessor

Test Asset Lender (Pty) Ltd ("the lessor") lets to Test Soleprop ("the lessee") the goods described in section 3 ("the goods") for the term in section 5, which starts on the commencement date, 31 December 2026, and ends on 31 December 2029, on the terms of this agreement. Sections 1 to 8 form part of these terms.

The goods remain the property of the lessor throughout. Nothing in this agreement transfers ownership to the lessee: the lessee becomes the owner only if it buys the goods at their market value under clause 9.9(c). The lessee may not sell, let, lend, pledge or encumber the goods, or part with possession of them.

Before the goods are brought onto premises the lessee does not own, the lessee must tell the owner of those premises in writing that the goods belong to the lessor, and must give the lessor a copy of that notice on request. If anyone attaches or claims the goods, the lessee must tell that person that the lessor owns them, and tell the lessor at once.

A registered vehicle is registered in the lessor's name as owner and titleholder. The lessee pays the licence and registration fees as they fall due and is liable for every traffic fine and toll incurred while the goods are in its possession; the lessor may nominate the lessee, or its driver, as the person responsible for a fine.

9.2 Delivery, acceptance and risk

IMPORTANT (section 49 of the CPA): this clause places risk or liability on the lessee. Read it carefully, and initial it below to show you have read and understood it.

The lessee chose the goods and the supplier named in section 4. The supplier delivers the goods to the lessee on the lessor's behalf. On delivery the lessee inspects the goods and signs a delivery and acceptance certificate, which confirms that the goods described in section 3 were delivered; the lessor then pays the supplier. The lessee must not sign the certificate before the goods have been delivered.

Nothing in this agreement limits the lessee's rights under sections 55 and 56 of the Consumer Protection Act, 2008 ("the CPA") to safe goods of good quality. The lessor also makes the supplier's and the manufacturer's warranties available to the lessee for the term.

From delivery until the goods are returned to the lessor, the lessee bears the risk of the goods being lost, stolen, damaged or destroyed from any cause other than the lessor's own gross negligence. A loss does not end the lessee's obligation to pay the rentals, except as clause 9.5 provides for goods stolen or written off.

Lessee's initials: _____

9.3 Rentals, escalation and changes to the contract rate

The lessee pays the rentals in section 6 monthly in arrears, on their due dates, by debit order or electronic transfer into the account the lessor names in writing. A payment counts only once the lessor receives it in cleared funds.

The rental increases by 8.00% on each anniversary of the commencement date; the rentals in section 6 already include these increases.

The rentals are priced at the contract rate in section 5, which is linked to the Prime rate. When that reference rate changes, the lessor recalculates the rentals not yet invoiced that fall due at least 14 days after the recalculation, at the new contract rate (the new reference rate with the same margin). The term and the number of rentals do not change, and neither does the maintenance part of a rental; a rental already invoiced never changes. The lessor tells the lessee the new rentals in writing before the first changed rental falls due.

9.4 Tax invoices and VAT

Each rental is a separate supply. The lessor issues a tax invoice for each rental on the earlier of its due date and the day the lessor receives payment of it, and charges VAT on the rental at the rate in force at that time (section 5 shows the rate at commencement).

If the VAT rate changes, the rentals change by the difference in VAT, as section 67 of the Value-Added Tax Act, 1991 allows. Every other amount under this agreement (an end-of-term, purchase or termination amount) is invoiced on its own tax invoice, with VAT where that Act requires it.

9.5 Insurance of the goods

IMPORTANT (section 49 of the CPA): this clause places risk or liability on the lessee. Read it carefully, and initial it below to show you have read and understood it.

From delivery until the goods are returned, the lessee must keep the goods insured with an insurer of its choice registered under the Insurance Act, 2017, against loss, theft, damage and destruction from any cause for their full replacement value, and against liability to third parties arising from their use. The policy must record the lessor's interest as owner and first loss payee, and require the insurer to tell the lessor before the cover lapses or is cancelled. The lessee pays every premium and excess and gives the lessor proof of cover on request. If the lessee does not insure the goods, the lessor may insure them and recover the premium from the lessee on demand.

The lessee reports any loss or damage to the lessor and the insurer within 24 hours, and a theft or hijacking also to the South

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African Police Service, and does nothing that could void the cover. Insurance proceeds for repairable damage are used to repair the goods.

If the goods are stolen and not recovered, or written off, the lease ends on the date the theft is confirmed as an unrecovered total loss or the goods are written off, recorded with supporting evidence. The lessee then pays the lessor the arrears and the present value on that day of the rentals (excl. VAT and maintenance) that would have fallen due after it, discounted at the contract rate, without any penalty, and the insurance proceeds actually received, including later receipts, are credited through the receipt ledger against that amount; any excess is recorded for reconciliation and refund to the entitled party. Termination and the valuation date do not depend on insurer settlement or a physical return or inspection of stolen or destroyed goods.

Lessee's initials: _____

9.6 Use, care and location of the goods

IMPORTANT (section 49 of the CPA): this clause places risk or liability on the lessee. Read it carefully, and initial it below to show you have read and understood it.

The lessee must: use the goods carefully, for its business, within their rated capacity and according to the manufacturer's instructions; have them operated only by competent operators who hold every licence and certificate the law requires; keep them in the Republic of South Africa, and not take them across its borders without the lessor's written consent; tell the lessor in writing where the goods are kept and of any change; comply with every law that applies to their possession and use; and service and maintain them at its own cost as the manufacturer recommends, using genuine or equivalent parts.

Apart from fair wear and tear (clause 9.8), the lessee must keep the goods in the order and condition in which they were delivered. It may not alter them or add to them without the lessor's written consent; a part or accessory fitted to the goods becomes the lessor's property without compensation unless it can be removed without damage and is removed before the goods are returned. The lessor or its agent may inspect the goods at any reasonable time on reasonable notice.

The lessee indemnifies the lessor against every claim by any person for loss, damage, injury or death arising from the possession, use or operation of the goods during the term, except where caused by the lessor's gross negligence or wilful misconduct.

Lessee's initials: _____

9.7 Contracted usage and excess-usage charges

Section 7 records that no usage limit is contracted, so no excess-usage charge applies. The lessee must still use the goods reasonably under clause 9.6, and damage beyond fair wear and tear is charged under clause 9.8.

9.8 Return of the goods and the end-of-term inspection

When the lease ends (on expiry, at the end of an extension, on early termination or on cancellation), unless the lessee buys the goods under clause 9.9(c), the lessee must at its own cost return the goods, with their keys, manuals, accessories, service records and registration documents, clean and in good working order apart from fair wear and tear, to the place in the Republic the lessor reasonably names. Until the goods are returned the lessee remains bound by this agreement, including clauses 9.2 and 9.5.

The lessor inspects the goods on or after the day the lease ends. Its inspection report records their condition, each item of damage with its assessed cost of repair excl. VAT, and the final meter reading. The lessee may attend the inspection and receives a copy of the report.

"Fair wear and tear" is the deterioration that results from normal use of the goods for their purpose, within the contracted usage, with the care and maintenance this agreement requires. It does not include accident or impact damage, missing or broken parts or glass, damage from misuse, overloading or neglect, unauthorised alterations, or damage the insurance under clause 9.5 covers or should have covered.

The lessor issues one end-of-term tax invoice for the excess usage (clause 9.7), the assessed damage and VAT. The lessee pays it within 7 days of the invoice date. The lessee may object to an item in writing, with reasons, within 10 business days of receiving the report; the lessor considers the objection in good faith and, if it upholds it, issues a credit note. An objection does not suspend payment of the items not in dispute.

9.9 End-of-term options: return, extension or purchase at market value

From 6 months before the last rental falls due, the lessee may choose one of the options below for the end of the term, through the lessor's portal or by written notice to the lessor. The choice is final once the lessor records it.

(a) Return. The lessee returns the goods under clause 9.8 when the term ends.

(b) Extension month to month. The lease continues after 31 December 2029 from month to month, on the same terms, at the last rental in section 6, payable on the same day of each month. The lessee may end the extension at any time by giving the lessor at least 20 business days' written notice; it then ends on the date in the notice, not earlier than 20 business days after the notice. The lessor may end it by written notice; it then ends on the first rental date at least one month after the notice. The goods are then returned under clause 9.8.

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(c) Purchase at market value. The lessor sells the goods to the lessee at a price not less than their market value: the highest current valuation of the goods by an independent assessor or dealer, dated within the period the lessor's valuation policy sets before the sale. The price is not fixed in this agreement, and nothing in this agreement obliges either party to buy or sell the goods at any other price. Once the term has ended the lessor issues a tax invoice for the price plus VAT, which the lessee pays within 7 days. Ownership passes, and the lessor signs the change of registration of a registered vehicle, only once the price and everything else owing under this agreement have been paid. The lessee has had the goods throughout the term and knows their condition; the sale does not limit the lessee's rights under the CPA.

If the lessee has made no choice by the expiry date and has not told the lessor to end the lease on that date, the lease continues month to month under (b), as section 14(2)(d) of the CPA provides, until it is ended as (b) provides.

9.10 Early termination

The lessee may cancel this lease at any time by giving the lessor 20 business days' written notice, as section 14(2)(b)(i)(bb) of the CPA allows. The cancellation takes effect 20 business days after the notice is given, whether or not the lessee accepts or pays any quote. The rentals that would fall due after the cancellation date are cancelled, and the goods are returned and inspected under clause 9.8 (the end-of-term invoice for usage and damage follows separately).

The lessee remains liable for the amounts owed up to the cancellation date, and the lessor may charge only a reasonable cancellation penalty, as section 14(3) of the CPA provides. The financial ceiling for the cancellation penalty is the lessor's reasonable loss: (a) the present value, on the cancellation date, of the rentals (excl. VAT and maintenance) that would have fallen due after it, discounted at the contract rate; less (b) the net amount the lessor realises, or can reasonably expect to realise, by selling or letting the returned goods; plus (c) actual documented recovery, refurbishment and re-letting costs, itemised with their evidence and evidence confirming those costs were not already deducted in the net goods valuation. A cost already deducted must not also be added to the charge. The charge is floored at zero and capped below the undiscounted remaining rentals, no percentage penalty is added, and it is only a ceiling. The lessor must record a case-specific assessment of every applicable factor in regulation 5(2) of the CPA Regulations and a justified reasonable amount at or below that ceiling, including a reduction or waiver where appropriate. Under regulation 5(3), the charge may not negate the consumer's right to cancel.

The lessor gives the lessee a written quote stating the penalty, and invoices it, plus VAT, on the cancellation date. The lessee may dispute the amount with the lessor, and may refer a dispute to the National Consumer Commission or a court; a dispute does not delay the cancellation.

9.11 Breach and remedies

If the lessee fails to pay any amount on its due date or materially breaches this agreement, the lessor may give the lessee written notice of the breach. If the lessee has not remedied it within 20 business days of the notice, the lessor may cancel this agreement, as section 14(2)(b)(ii) of the CPA provides, or exercise its other remedies below.

On a default the lessor may, without losing any other right: (a) claim every amount due and enforce this agreement; or (b) cancel this agreement, recover the goods (through a court order if the lessee does not return them voluntarily) and claim the amounts owed up to the cancellation date and a reasonable cancellation penalty calculated as clause 9.10 provides, together with the reasonable costs of recovering, storing, insuring, valuing and selling the goods and the legal costs a court awards or the lessee agrees to after the default.

The lessor sells or lets the recovered goods for the best price reasonably obtainable, measured against an independent valuation. The net proceeds (after the costs deducted from them) are credited to the lessee's account when received. Any surplus is refunded to the lessee; the lessee pays any shortfall on demand.

9.12 Default interest and collection costs

The lessee pays default interest on every amount not paid on its due date, from the day after the due date until it is paid, at the contract rate plus 2.00% a year, calculated daily on a 365-day year and charged monthly. Default interest is not charged on default interest or on fees.

A collection fee of R 450.00 is charged once for each rental not paid in full by the end of its due date.

Each payment is applied first to default interest, then to collection fees and other charges, then to the rentals and other amounts due, oldest first, and then to amounts not yet due.

9.13 Cession and assignment

The lessor may cede its rights, delegate its obligations and transfer ownership of the goods to anyone, including a financier, without the lessee's consent, provided the lessee's rights under this agreement are not reduced. On request the lessee acknowledges the cession in writing and pays the cessionary.

The lessee may not cede, assign or delegate any right or obligation under this agreement, or sublet the goods, without the lessor's prior written consent.

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9.14 Domicilium and notices

Each party chooses as its address for legal process and notices (domicilium citandi et executandi): the lessor, its registered office in section 1; the lessee, its address in section 2. A party may change its address by written notice to another physical address in the Republic.

Notices must be in writing and may be delivered by hand to the chosen address or sent by email to an address the receiving party has given for notices. Notices to the lessee are written in plain language (section 22 of the CPA).

A written notice actually received is valid even if it was not given as this clause provides.

9.15 General

This agreement is the whole agreement between the parties about its subject. A variation, cancellation by agreement or waiver binds a party only if in writing and signed by it. A relaxation or indulgence is not a waiver. If a provision is invalid, the rest of the agreement stands. South African law governs this agreement.

Nothing in this agreement limits any right the lessee has under the CPA, including in respect of representations made to it before it signed.

The lessor processes the personal information of the lessee and its representatives under the Protection of Personal Information Act, 2013, to conclude, administer and enforce this agreement, and may share it for those purposes with its service providers, insurers, the supplier, its funders and any cessionary.

This agreement may be signed electronically and in counterparts, as the Electronic Communications and Transactions Act, 2002 allows.

10. SIGNATURES

For the lessee, Test Soleprop

Test Soleprop
Lessee

Date

For the lessor, Test Asset Lender (Pty) Ltd

Name:
Authorised signatory

Date

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